

allowing them to pay a grand total of \$190 in federal income tax in 2016 while saving nearly \$100,000 of their two public school teachers' salaries.

Another great example is Justin, who writes the blog *Root of Good*. He was able to use similar tax-deferral strategies, paying \$150 income tax on his household's \$150,000 earnings, an effective tax rate of 0.1 percent. He used a combination of the above-outlined strategies, making the maximum contributions to all available tax-deferred accounts. This included utilizing a 401(k) and 457(b) while also contributing 6 percent of his salary to his pension. His wife also made the maximum allowable contributions to her 401(k), Dependent Care Flexible Spending Account, and HSA. They then utilized tax loss harvesting to further lower taxable income. All of these efforts led to a low recognized income, allowing them to contribute to tax-deductible IRA accounts, which they also took advantage of. These combined efforts allowed his family to essentially eliminate taxation of their incomes while working. This money can then be accessed after achieving FI at low rates, possibly paying no tax at all.

Backdoor and Mega Backdoor Roths